

Alphabet

AI driving strong growth and margins, and big backlog provides added visibility; Buy

Reiterate Rating: BUY | PO: 430.00 USD | Price: 349.94 USD

1Q Rev/EPS beat driven by Search and Cloud upside

1Q Rev/EPS of \$94.7bn/\$5.11 beat Street \$91.7bn/\$2.73, driven by upside in Search & Cloud. Search growth accelerated to 19% y/y (vs Street 16%), while Cloud was the big surprise at 63% y/y (vs Street 50%). 1Q Op. margin at 41.9% beat Street at 39.6%, with Cloud at 32.9% (vs 27.4% est.) suggesting AI cycle returns are trending positively. EPS also benefited from \$37.7bn in Other Income from unrealized private asset appreciation.

Positive surprises: Cloud backlog & external TPU sales

Cloud backlog grew 90% q/q to \$462bn, with 50% expected to be recognized over next 24 months, helping validate infrastructure investments and advantages of Google's Gemini and TPU offerings. Based on backlog on the books (\$230bn to be recognized over the next 8 quarters), we expect significant increases in Street Cloud revenue growth estimates. A portion of the q/q growth represented contracted TPU sales to external customers, a new, potentially large, and profitable business for Google.

Raising 2027 net revenue by 10% and EPS by 12%

Raising estimates to reflect higher search growth, Cloud backlog and Cloud margins. For 2026, we raise revenue by 4% to \$424bn and EPS by 26% to \$14.43. For 2027, we raise revenue by 10% to \$522bn, EPS by 12% to \$14.49. We also raise 2027 capex by 25% (+\$70bn y/y) to \$257bn, which we think is justified by material backlog expansion. We Raise our PO to \$430 based on a higher '27 EPS & higher 28x multiple (vs 27x) given growing mix of recurring Cloud revenue.

AI strengthening core business and growth outlook; Buy

Another quarter of strong revenues and margins reinforces our view that Google is a top AI play, with increasing search usage, improving ad targeting, durable Cloud advantages from Gemini/TPUs, and growing subscription revenues from Gemini. We think AI tailwinds for Search are still in early stages and future LLM improvements will drive durable growth. For Cloud, added capacity and TPU sales could further drive upside. At AH price of ~\$372, stock is at 25x our revised 2027E EPS, and we think search strength and Cloud backlog visibility warrant a higher multiple. Next catalysts: I/O Conf (May 19), upgraded Gemini model, consumer agentic launches, and new Cloud deals. Reit Buy.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	8.04	10.81	14.43	14.49	17.62
EPS Change (YoY)	38.6%	34.5%	33.5%	0.4%	21.6%
Consensus EPS (Bloomberg)			12.32	14.19	16.48
Consensus EPS (Visible Alpha)			11.62	13.44	15.56
DPS	0.60	0.63	0.67	0.70	0.73
EPS (GOOG - US\$)	8.04	10.81	14.43	14.49	17.62
DPS (GOOG - US\$)	0.60	0.63	0.67	0.70	0.73
Valuation (Dec)					
P/E	43.5x	32.4x	24.3x	24.2x	19.9x
Dividend Yield	0.2%	0.2%	0.2%	0.2%	0.2%
EV / EBITDA*	29.2x	25.1x	18.9x	14.8x	11.6x
Free Cash Flow Yield*	1.7%	1.7%	1.0%	1.1%	1.6%

* For full definitions of *IQmethod™* measures, see page 10.

30 April 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	370.00	430.00
2026E Rev (m)	407,920.6	424,124.3
2027E Rev (m)	474,856.1	521,988.7
2028E Rev (m)	548,043.4	641,319.7
2026E EPS	11.45	14.43
2027E EPS	12.92	14.49
2028E EPS	14.43	17.62

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Stock Data

Price (NAS / NAS)	349.94 USD / 347.31 USD
Price Objective	430.00 USD / 430.00 USD
Date Established	30-Apr-2026 / 30-Apr-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	147.84 USD - 355.79 USD
Market Value (mn)	4,344,505 USD
Free Float	99.4%
Average Daily Value	9545.12 USD
Shares Outstanding (mn)	12,415.0 / 12,415.0
BofA Ticker / Exchange	GOOGL / NAS
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Bloomberg / Reuters	GOOGL US / GOOGLQ
ROE (2026E)	34.6%
Net Dbt to Eqty (Dec-2025A)	8.9%

GCP: Google Cloud Platform
OM: Operating Margins
AIO: AI Overviews
SOTP: Sum of the parts

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Timestamp: 30 April 2026 02:27AM EDT

iQprofileSM Alphabet

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	37.2%	37.6%	33.2%	25.1%	23.8%
Return on Equity	35.3%	37.8%	34.6%	25.0%	23.2%
Operating Margin	45.8%	44.9%	47.2%	46.8%	46.4%
Free Cash Flow	72,764	73,266	44,149	47,842	67,805

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.3x	1.2x	1.3x	1.7x	1.7x
Asset Replacement Ratio	3.4x	4.3x	5.9x	4.9x	3.9x
Tax Rate	16.4%	16.8%	17.5%	17.8%	17.8%
Net Debt-to-Equity Ratio	1.7%	8.9%	9.7%	6.3%	2.8%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	295,118	342,910	424,124	521,989	641,320
% Change	15.1%	16.2%	23.7%	23.1%	22.9%
Gross Profit	203,712	240,301	302,339	373,050	454,869
% Change	17.0%	18.0%	25.8%	23.4%	21.9%
EBITDA	150,486	175,128	232,098	296,552	377,897
% Change	21.9%	16.4%	32.5%	27.8%	27.4%
Net Interest & Other Income	(15,360)	4,834	14,442	(26,919)	(31,619)
Net Income (Adjusted)	100,076	132,206	177,014	178,663	218,344
% Change	35.6%	32.1%	33.9%	0.9%	22.2%

Free Cash Flow Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	100,118	132,170	177,070	178,718	218,405
Depreciation & Amortization	15,311	21,136	31,848	52,148	80,548
Change in Working Capital	(9,343)	618	(87)	10,455	11,261
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	19,213	10,789	21,885	63,114	68,034
Capital Expenditure	(52,535)	(91,447)	(186,567)	(256,593)	(310,443)
Free Cash Flow	72,764	73,266	44,149	47,842	67,805
% Change	4.7%	0.7%	-39.7%	8.4%	41.7%
Share / Issue Repurchase	(8,879)	(2,269)	(16,283)	(17,500)	(19,100)
Cost of Dividends Paid	(7,363)	(7,616)	(8,121)	(8,527)	(8,954)
Change in Debt	(2,423)	(6,333)	0	0	0

Balance Sheet Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	24,048	30,708	42,175	49,876	70,779
Trade Receivables	47,964	62,886	77,169	94,548	115,934
Other Current Assets	99,518	112,444	108,322	112,832	117,957
Property, Plant & Equipment	134,345	246,597	406,562	611,054	841,028
Other Non-Current Assets	96,517	142,646	209,746	210,546	211,346
Total Assets	402,392	595,281	843,974	1,078,856	1,357,043
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	81,814	102,745	122,305	146,547	176,218
Long-Term Debt	28,725	67,740	101,378	101,178	100,978
Other Non-Current Liabilities	8,474	9,531	12,457	12,457	12,457
Total Liabilities	119,013	180,016	236,140	260,182	289,653
Total Equity	283,379	415,265	607,835	818,674	1,067,390
Total Equity & Liabilities	402,392	595,281	843,974	1,078,856	1,357,043

* For full definitions of iQmethodSM measures, see page 10.

Company Sector

Internet/e-Commerce

Company Description

Alphabet is a global technology company focused on key areas, such as search, advertising, operating systems and platforms, enterprise and hardware products. The company generates revenue primarily by delivering online advertising and by selling apps and content on Google Play as well as hardware products. The company provides its products and services in more than 100 languages and in 190 countries, regions, and territories.

Investment Rationale

We see Alphabet as well positioned long term with leading AI technology to apply to search, YouTube, and Cloud businesses. Alphabet should also benefit from increasing mobile usage, video usage, Google Play activity, and connected device activity (including autos). We believe that Alphabet should trade at a premium to a media peer group given technology leadership, high margins, and strong cash flow generation for buybacks.

Stock Data

Average Daily Volume	27,276,454
Shares / Common - Dual Listed	1.00

Quarterly Earnings Estimates

	2025	2026
Q1	2.81A	5.11E
Q2	2.31A	2.99E
Q3	2.87A	3.05E
Q4	2.82A	3.29E

Key Changes

(US\$)	Previous	Current
Price Obj.	370.00	430.00
2026E EPS	11.45	14.43
2027E EPS	12.92	14.49
2028E EPS	14.43	17.62

Why to buy the stock here:

1. **AI driven Search upside:** We see scope for improving search monetization and engagement as Gemini models improve and a growing proportion of queries shifts to AI-native formats (e.g., AI Overviews, AI Mode, Gemini). Improvements in model quality and response formats are improving engagement and enabling more effective commercialization of user intent, which could drive upside to Search estimates.
2. **Cloud upside with added capacity and TPU sales:** Google's vertically integrated AI stack, including proprietary Gemini models and custom silicon (TPUs), underpins Google Cloud's differentiated performance and cost efficiency. We believe this positions the company to capture incremental enterprise demand and as new capacity coming online in 2H, it will further accelerate Cloud growth. In addition, the ramp of external TPU sales should increase the perceived value of TPU technology, deepen customer lock-in within the Google AI ecosystem, and further strengthen Google Cloud's competitive positioning and growth outlook. Google's 1Q backlog suggests Google Cloud will generate at least \$230bn in sales over the next 8 quarters, this this doesn't include new deals that Google is likely to sign.
3. **Optionality from Other Bets:** We think several of Alphabet's assets, including TPUs and Waymo, have moved beyond early-stage experimentation and are demonstrating tangible commercial progress. We think these assets offer upside optionality.
4. **Catalyst ahead (I/O Conf):** We see a near-term catalyst path, anchored by I/O Conference (May 19), where Google could unveil upgraded Gemini model and introduce consumer-facing agentic capabilities. These launches could mark a step-change in product functionality. Beyond I/O, a broader cadence of product updates and ecosystem announcements could reinforce AI execution and sustain positive sentiment.

Potential risks include:

1. Relatively elevated valuation vs near-term history could limit multiple expansion; At the stock price of \$370, Alphabet valued at 25x our revised 2027 EPS (vs 10yr historical average of 22x) and S&P 500 at 19x. Since Nov'22, after launch of ChatGPT, Alphabet has traded largely in line with S&P 500.
2. High-profile product launches by competitors across frontier models (OpenAI GPT-6, Anthropic Mythos, etc.), AI-native search, hardware, and related areas, could shift AI sentiment and prompt the Street to reassess Google's relative AI positioning.
3. Increasing usage of competitive AI products (ChatGPT, Claude, Perplexity, etc.) could lower Google's moats in distribution and infrastructure.
4. OpenAI's ad ramp could drive a shift of search budgets, impacting Google's growth outlook,
5. Ramping capex spend (and related depreciation) could impact the margin outlook for the company,
6. Declining revenue assumptions for Google's AI cloud partners, or a slowing AI cycle, could lower the perceived value of Google's Cloud revenue backlog.



1Q Positives:

- **Very strong cloud growth vs peers:** Google Cloud's stronger growth versus peers suggests increasing platform traction and share gains. In 1Q, Google Cloud grew 63% (vs Street 50%) vs Azure 40% (vs Street 38%) and AWS 28% (vs Street 25%). Google cloud growth accelerated 15pts q/q on 2pts easier comp, Azure growth accelerated 1pts q/q on 2pts tougher comp and AWS growth accelerated 4pts q/q on 2pts easier comp. Google Cloud backlog increased 90% q/q to \$462bn.
- **Search revenue beat:** Strong search growth suggests resilient and growing usage (limited impact from ChatGPT and other competitive platforms) and improving monetization. Management noted Gemini integration in Search has significantly expanded Google's ability to deliver relevant ads on longer, more complex searches that were previously really difficult to monetize. 1Q'26 Search revenue at \$60.4bn (up 19% y/y, 15% ex-FX) was above Street at \$59.0bn (up 16% y/y).
- **External TPU Sales:** Google will begin delivering TPU hardware to external customers in 2H, with broader expansion in 2027. We think external TPU sales should likely increase the perceived value of TPU technology and deepen customer lock-in within Google AI ecosystem, further strengthening GC's competitive positioning.
- **Cloud backlog grew \$219bn q/q.** Strong backlog growth provides added visibility on future Cloud revenue growth.
- **Core services margins grew ~3pts y/y.** Search margin growth and upside could ease concerns on capex returns.

1Q Negatives:

- **Likely limited future share repurchases:** Given elevated investment spend, we expected limited share repurchases going forward. Alphabet did not repurchase any stock in 1Q and did not announce any new share repurchase program (vs \$70bn program announced in Apr'25). Diluted share count increased 0.1% q/q in 1Q'26. However, Alphabet did increase dividend by 5%.
- **Outlook for higher capex:** Google indicated that capex would be up "significantly" in 2027. If anticipated incremental AI-driven Cloud and Search revenue does not materialize (or there is a macro slowdown), higher D&A and an elevated infrastructure buildout could pressure profitability.
- **Slightly higher Opex growth:** Elevated investments in AI talent and infrastructure could impact future margins. 1Q'26 Opex at \$28.9bn was slightly above Street at \$28.2bn, with headcount at 194.7K (up 5% y/y, 2% q/q) vs Street 192.8K.
- **Elevated valuation & potential competitive product launches:** Alphabet is trading at a elevated valuation (vs recent history). Risk is new competitive product launches (LLMs, GPT-6, OpenAI ad ramp) could weigh on relative AI sentiment and valuation.

Valuation

PO change: We raise our PO to \$430 (from \$370) based on 12% a higher adjusted 2027 GAAP EPS of \$15.18 (excludes other Bets) and higher 28x multiple (vs 27x previously), plus cash. We think a higher valuation multiple is justified given growing mix of recurring and higher durability enterprise cloud revenue.

Exhibit 1: We raise our PO to \$430

Alphabet valuation

	2027 GAAP
Other Bets losses (mn)	(\$10,450)
Estimated Tax Savings	\$1,777
Other Bets Losses ex-Tax	(\$8,674)
2026 Diluted Shares	12,267
GAAP EPS Impact	(\$0.71)
2027E Total GAAP EPS	\$14.49
Implied GAAP P/E	30x
Adjusted EPS*	\$15.18
Applying a target PE multiple	28x
Implied Target Price / Share	\$425
Plus YE26 cash/share	\$4
Implied Target Price / Share	\$430

Source: BofA Global Research

BofA GLOBAL RESEARCH

Sum of the parts valuation

At the AH GOOG stock price of ~\$372, Alphabet stock valued at 25x our revised GAAP 2027 EPS, vs a 14-year historical range of 13-30x and 10-year average of 22x. Backing out our estimated values for YouTube, YouTube Subscription, Cloud, Waymo, and cash, as well as the potential earnings contribution from YouTube, and ~\$8.7bn in after-tax losses from Other Bets investments, we estimate the implied valuation on core Google advertising and Play businesses at 18x 2026E earnings, a discount to the S&P 500 at 19x (assuming 2027 EPS of \$375).

Exhibit 3: Sum-of-the-Parts and Core Valuation Analysis on 2027 estimates

Alphabet core services SOTP valuation analysis based on GOOG share price of ~\$372

Alphabet Sum of the Parts Valuation (2027 Estimates)

	Mkt Cap	Net Revenue	P/S	Net income	P/E	Comment
Alphabet Total	\$4,539	\$522	8.7x	\$179	25x	
YouTube	(\$196)	(\$49)		(\$4.9)	40x	4.0x revenues (peers at 3-5x), assumes 12% profit margin and a 17% tax rate
Subscription	(\$133)	(\$44)		(\$3.7)		Assumes 3x P/S multiple and 10% margin & 17% tax rate
Google Cloud Profit/Losses	(\$1,564)	(\$156)		(\$43.6)		Assumes 10x P/S and 20% margins in 2026 and a 17% tax rate
Waymo	(\$83)	\$0		\$0.0		Reflects time horizon, potential technology value at \$110bn valuation and 75% stake
Other Bets losses		(\$1)		\$8.7		Waymo loss included, and incorporates a 17% tax rate
YE'26 Cash & Equivalents	(\$131)			(\$3.3)		Excludes net cash, est. 3% interest income and 17% tax rate
Google core services	\$2,432	\$271	9.0x	\$132	18x	

Source: BofA Global Research estimates

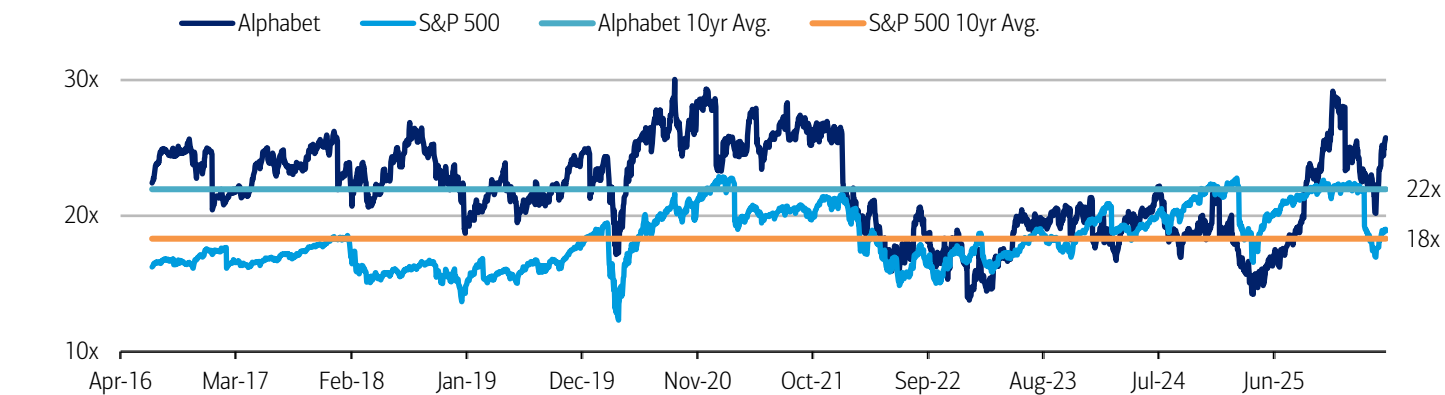
BofA GLOBAL RESEARCH

At the AH price of ~\$372, Alphabet trading at 25x our revised 2027 GAAP EPS vs a 2yr forward GAAP PE historical average of 22x and 10-year historical range of 14-30x. In the last 10yrs, Alphabet has traded at an average 4pts premium to S&P 500 which is now valued 19x (assuming 2027 GAAP EPS of \$375).



Exhibit 3: At the AH price of ~\$372, Alphabet is currently valued at 25x our revised 2027 GAAP EPS

Alphabet & S&P 500 2yr Forward GAAP PE Multiple



Source: Bloomberg

BofA GLOBAL RESEARCH

Estimate changes

We are raising revenue estimates reflecting higher Search & Cloud growth, and higher Cloud margins. We are also increasing expenses for growing investments in AI talent and infrastructure. For 2026, we raise revenue by 4% to \$424bn and EPS by 26% to \$14.43. For 2027, we raise revenue by 10% to \$522bn & EPS by 12% to \$14.49. We increase 2027 capex by 25% (+\$70bn y/y) to \$257bn and estimate FCF of \$48bn (+8% y/y).

Exhibit 5: We are raising 2027 GAAP EPS by 12% to \$14.49

Alphabet Estimate Changes

	2Q'26 Estimates			3Q'26 Estimates			2026 Estimates			2027 Estimates		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
Google Search	\$63,356	\$63,829	\$473	\$64,830	\$65,258	\$429	\$259,126	\$261,638	\$2,512	\$289,620	\$294,098	\$4,478
YouTube	\$10,776	\$10,776	\$0	\$11,184	\$11,184	\$0	\$44,593	\$44,478	(\$115)	\$49,511	\$48,926	(\$585)
Google Network Websites	\$7,268	\$7,060	(\$209)	\$7,308	\$7,133	(\$175)	\$29,473	\$28,836	(\$637)	\$29,012	\$28,167	(\$845)
Google Cloud	\$20,224	\$22,744	\$2,520	\$22,041	\$25,303	\$3,262	\$85,564	\$97,395	\$11,830	\$115,864	\$156,376	\$40,512
Subscription, platforms and devices	\$12,805	\$13,206	\$401	\$14,840	\$15,175	\$335	\$55,047	\$56,492	\$1,446	\$62,299	\$64,750	\$2,451
Google Gross Revenue	\$114,429	\$117,614	\$3,186	\$120,204	\$124,055	\$3,851	\$473,803	\$488,839	\$15,036	\$546,306	\$592,317	\$46,012
Traffic Acquisition Costs (TAC)	\$16,449	\$16,047	(\$402)	\$16,750	\$16,371	(\$379)	\$67,078	\$65,707	(\$1,371)	\$73,298	\$71,682	(\$1,616)
Google Net Revenue (ex-TAC)	\$98,264	\$101,810	\$3,547	\$103,726	\$107,900	\$4,174	\$407,921	\$424,124	\$16,204	\$474,856	\$521,989	\$47,133
Y/Y	20%	25%	4.3%	19%	23%	4.8%	19%	24%	4.7%	16%	23%	6.7%
Other Bets Revenues	\$384	\$343	(\$41)	\$372	\$316	(\$55)	\$1,625	\$1,422	(\$203)	\$1,849	\$1,404	(\$445)
Y/Y	3%	-8%	-11.0%	8%	-8%	-16.0%	6%	-7%	-13.2%	14%	-1%	-15.0%
Consolidated Gross Revenue	\$114,713	\$117,857	\$3,145	\$120,475	\$124,271	\$3,796	\$474,999	\$489,831	\$14,832	\$548,154	\$593,671	\$45,517
Consolidated Net Revenue (ex-TAC)	\$98,264	\$101,810	\$3,547	\$103,726	\$107,900	\$4,174	\$407,921	\$424,124	\$16,204	\$474,856	\$521,989	\$47,133
Y/Y	20%	25%	4%	19%	23%	5%	19%	24%	5%	16%	23%	7%
Other Costs of Revenue	\$28,226	\$28,647	\$421	\$31,049	\$31,799	\$750	\$119,689	\$121,785	\$2,097	\$144,004	\$148,939	\$4,935
Gross Profit	\$70,037	\$73,163	\$3,126	\$72,677	\$76,102	\$3,425	\$288,232	\$302,339	\$14,107	\$330,852	\$373,050	\$42,198
Gross Profit Margin	71.3%	71.9%	0.6%	70.1%	70.5%	0.5%	70.7%	71.3%	0.6%	69.7%	71.5%	1.8%
Research and Dev.	\$17,599	\$17,969	\$370	\$19,007	\$19,766	\$759	\$74,789	\$77,497	\$2,708	\$92,322	\$102,507	\$10,185
Sales and Mktg	\$7,705	\$8,671	\$966	\$7,782	\$8,758	\$976	\$31,021	\$34,930	\$3,909	\$32,918	\$40,571	\$7,653
G & A	\$4,841	\$4,634	(\$207)	\$4,986	\$4,773	(\$213)	\$20,312	\$19,236	(\$1,076)	\$21,532	\$20,612	(\$920)
Total Operating Expenses	\$30,145	\$31,274	\$1,129	\$31,775	\$33,296	\$1,522	\$126,122	\$131,663	\$5,541	\$146,772	\$163,690	\$16,918
% of net rev	31%	31%	0%	31%	31%	0%	31%	31%	0%	31%	31%	0%
Operating Income - GAAP	\$39,893	\$41,889	\$1,997	\$40,902	\$42,805	\$1,903	\$162,110	\$170,676	\$8,566	\$184,080	\$209,360	\$25,280
Margin	41%	41%	1%	39%	40%	0%	40%	40%	1%	39%	40%	1%
Incremental Margin	52%	53%	1%	60%	57%	-3%	51%	51%	0%	33%	40%	7%
SBC	\$7,421	\$7,301	(\$120)	\$7,421	\$7,501	\$80	\$29,554	\$29,574	\$20	\$34,324	\$35,044	\$720
Operating Income - non-GAAP	\$47,314	\$49,190	\$1,877	\$48,323	\$50,306	\$1,983	\$191,664	\$200,250	\$8,586	\$218,404	\$244,404	\$26,000
% of net rev	48.1%	48.3%	0.2%	46.6%	46.6%	0.0%	47.0%	47.2%	0.2%	46.0%	46.8%	0.8%
D&A	\$7,870	\$7,282	(\$588)	\$9,080	\$8,392	(\$688)	\$33,840	\$31,848	(\$1,992)	\$52,900	\$52,148	(\$752)
Stock-based Compensation	\$7,421	\$7,301	(\$120)	\$7,421	\$7,501	\$80	\$29,554	\$29,574	\$20	\$34,324	\$35,044	\$720
Adj. EBITDA	\$55,184	\$56,472	\$1,289	\$57,403	\$58,698	\$1,295	\$225,504	\$232,098	\$6,594	\$271,304	\$296,552	\$25,248
Margin	56.2%	55.5%	-0.7%	55.3%	54.4%	-0.9%	55.3%	54.7%	-0.6%	57.1%	56.8%	-0.3%
Interest income and other, net	\$1,215	\$2,000	\$785	\$1,250	\$2,100	\$850	\$5,925	\$44,016	\$38,091	\$5,725	\$8,125	\$2,400
Income pre-tax and acct. change	\$41,108	\$43,889	\$2,782	\$42,152	\$44,905	\$2,753	\$168,035	\$214,692	\$46,657	\$189,805	\$217,485	\$27,680
Provision for tax	\$6,824	\$7,286	\$462	\$6,997	\$7,454	\$457	\$27,894	\$37,623	\$9,729	\$31,508	\$38,767	\$7,259
Effective tax rate (Reported)	16.6%	16.6%	0.0%	16.6%	16.6%	0.0%	16.6%	17.5%	0.9%	16.6%	17.8%	1.2%
Net income - GAAP	\$34,284	\$36,604	\$2,320	\$35,155	\$37,451	\$2,296	\$140,141	\$177,070	\$36,928	\$158,297	\$178,718	\$20,421
Net income - non-GAAP	\$40,473	\$42,693	\$2,220	\$41,314	\$43,677	\$2,363	\$164,760	\$201,531	\$36,772	\$186,889	\$207,476	\$20,587
Diluted GAAP EPS	\$2.80	\$2.99	\$0.19	\$2.88	\$3.05	\$0.17	\$11.45	\$14.43	\$2.99	\$12.92	\$14.49	\$1.57
Diluted shares	12,250	12,256	6	12,218	12,281	63	12,242	12,267	26	12,248	12,330	82
Capital expenditures	\$41,271	\$43,779	\$2,508	\$51,863	\$51,792	(\$71)	\$181,547	\$186,567	\$5,020	\$205,876	\$256,593	\$50,717
Headcount	194,420	196,268	1,848	197,220	199,268	2,048	197,920	200,168	2,248	205,420	210,168	4,748

Source: BofA Global Research estimates

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Actual vs Expected Results

Exhibit 6: 1Q'26 Net Revenue/EPS was above Street

Alphabet actual vs estimates (\$ in millions)

1Q'26 Actual vs Street vs BofA

Alphabet Actual vs Street Results	BofA	Street	Actual	Act vs Street	Act vs BofA
Google segment Revs					
Google Search & other	\$59,746	\$58,991	\$60,399	\$1,408	\$653
y/y %	18%	16%	19%		
YouTube ads	\$9,998	\$9,969	\$9,883	(\$86)	(\$115)
y/y %	12%	12%	11%		
Network Revenue	\$7,122	\$7,148	\$6,971	(\$177)	(\$151)
y/y %	(2%)	(1%)	(4%)		
Google Cloud Revenue	\$18,305	\$18,359	\$20,028	\$1,669	\$1,723
y/y %	49%	50%	63%		
Subscription, platforms and devices	\$11,993	\$11,991	\$12,384	\$393	\$391
y/y %	16%	16%	19%		
Other Bets Segment Revs	\$459	\$462	\$411	(\$51)	(\$48)
y/y %	2%	3%	(9%)		
Consolidated Gross Revenue	\$107,443	\$106,957	\$109,896	\$2,939	\$2,453
TAC	\$15,490	\$15,337	\$15,228	(\$109)	(\$262)
Google Net Revenue	\$91,953	\$91,708	\$94,668	\$2,960	\$2,715
y/y %	20%	20%	24%	3.9%	3.5%
Other cost of revenue	\$26,135	\$27,121	\$26,043	(\$1,078)	(\$92)
Research and Development	\$17,086	\$16,812	\$17,032	\$220	(\$54)
Sales and Marketing	\$6,818	\$7,064	\$7,606	\$542	\$788
General & Administrative	\$4,700	\$4,366	\$4,291	(\$75)	(\$409)
Total Opex	\$28,605	\$28,212	\$28,929	\$717	\$324
y/y %	23%	21%	24%	3%	1%
GAAP Operating Income	\$37,213	\$36,325	\$39,696	\$3,371	\$2,483
Margin	40.5%	39.6%	41.9%	2.3%	1.5%
D&A	\$6,910	\$7,174	\$6,482	(\$692)	(\$428)
SBC	\$6,871	\$6,558	\$6,751	\$193	(\$120)
Adj EBITDA	\$50,994	\$50,242	\$52,929	\$2,687	\$1,935
Margin	55.5%	54.8%	55.9%	1.1%	0.5%
Other Income	\$2,200	\$947	\$37,716	\$36,769	\$35,516
Income before taxes	\$39,413	\$39,396	\$77,412	\$38,016	\$37,999
Taxes	\$6,543	\$6,199	\$14,834	\$8,635	\$8,291
Tax Rate %	17%	16%	19%	3%	3%
Non-GAAP EPS	\$3.16	\$3.04	\$5.56	\$2.52	\$2.40
GAAP EPS	\$2.69	\$2.73	\$5.11	\$2.39	\$2.43
Diluted Shares	12,228	12,207	\$12,238	31	10
Headcount	192,920	192,785	\$194,668	1,883	1,748
US Gross Revenue	\$51,573	\$52,060	\$53,975	\$1,915	\$2,402
EMEA Gross Revenue	\$31,176	\$31,099	\$31,468	\$369	\$292
APAC Gross Revenue	\$18,325	\$17,687	\$18,288	\$601	(\$37)
Other Americas Gross Revenue	\$6,369	\$6,661	\$6,345	(\$316)	(\$24)

Source: BofA Global Research estimates, Company Filings, Visible Alpha
BofA GLOBAL RESEARCH

Price objective basis & risk

Alphabet (GOOGL / GOOG)

Our price objective of \$430/\$430 is based on 28x 2027E core Google GAAP EPS plus cash per share. Alphabet has traded at an average multiple of 22x GAAP P/E over the last ten years, and we think our target multiple is reasonable vs history given expectations for double-digit revenue growth, Cloud margin expansion, and opportunity to capitalize on strong AI assets.

Downside risks are 1) loss of search traffic to AI tools from competitors, 2) LLM integration in search may take longer than expected or negatively impact search revenues, 3) revenue pressure from compliance with the EU Digital Markets Act (DMA), and 4) potential for increasing Capex and lower FCF-given AI investments.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	DoorDash	DASH	DASH US	Justin Post
	DoubleVerify Holdings, Inc.	DV	DV US	Omar Dessouky, CFA
	Ethos	LIFE	LIFE US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Life360	LIF	LIF US	Nitin Bansal, CFA
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Navan, Inc.	NAVN	NAVN US	Nafeesa Gupta
	Peloton	PTON	PTON US	Nafeesa Gupta
	Playtika	PLTK	PLTK US	Omar Dessouky, CFA
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Uber	UBER	UBER US	Justin Post
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	Carvana	CVNA	CVNA US	Michael McGovern
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	Digital Turbine, Inc	APPS	APPS US	Omar Dessouky, CFA
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA
	eBay	EBAY	EBAY US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Global Business Travel Group, Inc.	GBTG	GBTG US	Nafeesa Gupta
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Pinterest	PINS	PINS US	Justin Post
	Reddit	RDDT	RDDT US	Justin Post
	Snap	SNAP	SNAP US	Justin Post
	StubHub Holdings	STUB	STUB US	Justin Post



US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Unity	U	U US	Omar Dessouky, CFA
	Zillow	Z	Z US	Omar Dessouky, CFA
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA
UNDERPERFORM				
	ACV Auctions	ACVA	ACVA US	Michael McGovern
	Bumble	BMBL	BMBL US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Justin Post
	Vivid Seats	SEAT	SEAT US	Steven McDermott
	Yelp	YELP	YELP US	Nitin Bansal, CFA

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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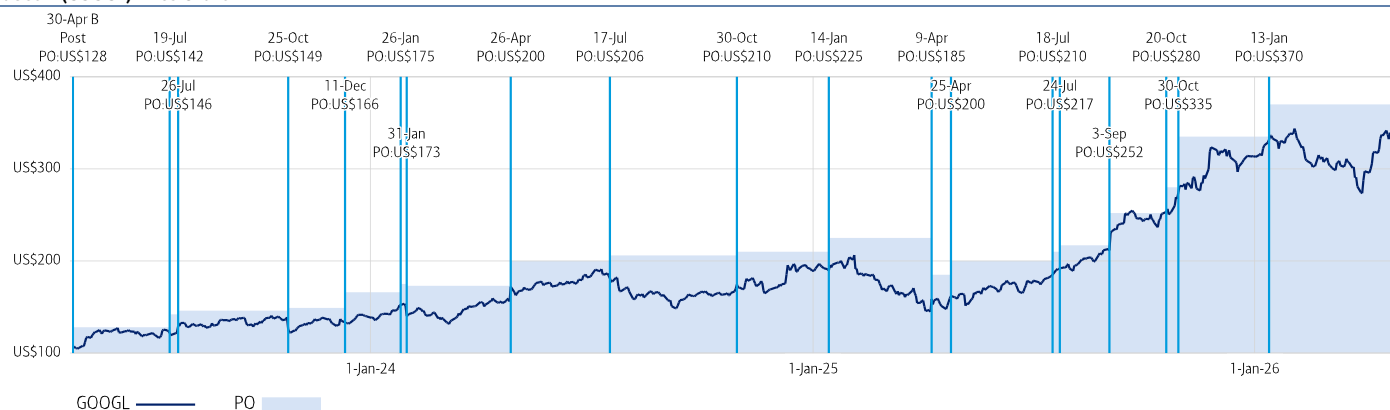
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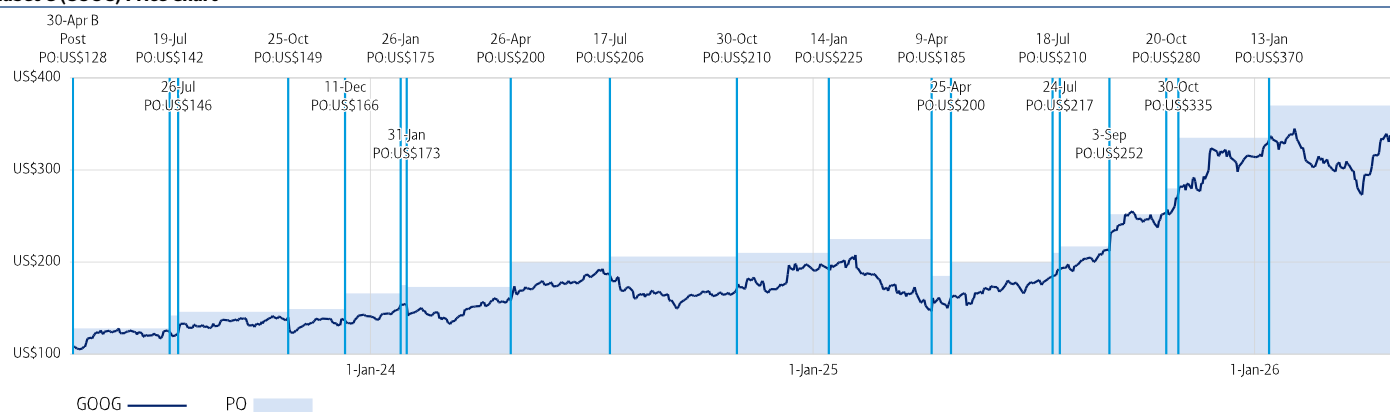
Alphabet A (GOOGL) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Alphabet C (GOOG) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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